



Fulton Hogan - Avionics

MN-75016

Phase 1 Determination

Acquisition may be put into effect

16 June 2026

1. Determination

Notified acquisition	Fulton Hogan Industries Pty Ltd (Fulton Hogan)’s proposed acquisition of 100% of the shares in Avionics Holdings Pty Ltd representing the Australian operations of the Avionics Group business (Avionics) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Fulton Hogan, is a civil construction and infrastructure provider, primarily operating in Australia and New Zealand. It delivers projects and long-term maintenance across airports, bridges, communications, energy, rail, roads and water sectors. The target, Avionics, is a supplier and installer of aeronautical ground lighting (AGL) often as part of airside works projects in Australia. Avionics also provides related services such as design, repair and maintenance of AGL. Avionics and other AGL providers either supply these services directly to airfield operators or to head contractors which coordinate the delivery of major airfield works.
Reasons for determination	The reasons for the ACCC’s determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC’s approach to considering notified acquisitions, see the ACCC’s [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Overlap and relationship between the parties

- 2.4. Fulton Hogan and Avionics have an existing non-horizontal relationship wherein Fulton Hogan is engaged by airfields to deliver a package of airside works and subcontracts AGL installation services to AGL installers such as Avionics.
- 2.5. Fulton Hogan and Avionics also overlap horizontally in the supply of AGL installation services. Fulton Hogan has some limited capabilities in AGL installation, but this amounts to a relatively small presence in the installation of AGL in Australia and it does not currently compete for major AGL installation projects.

Industry background

Airside works

- 2.6. Airside works projects are construction or maintenance works relating to runways, taxiways, and aprons at airfields. Fulton Hogan's airside works operations involve airfield pavement construction services such as runway resurfacing, taxiway upgrades and apron rehabilitation.
- 2.7. Depending on the scope of the project, airfield operators typically engage a head contractor to manage the supply of a package of airside works. These head contractors subcontract elements of that package out to separate service providers and often supply some elements themselves. Alternatively, an airport operator may engage providers separately to supply discrete components of the airside works project.
- 2.8. Airfield operators are diverse and include owners of major international airports, operators of large and small regional airports (including regional councils), the Department of Defence (for RAAF and RAN airbases) and mining companies.

AGL installation services

- 2.9. AGL is a specialised system of in ground and above ground lights and other visual aids used to guide pilots during take-off, landing and taxiing on runways, taxiways, and aprons.
- 2.10. AGL installation services are a core, but typically smaller value, component of airside works projects. Suppliers of AGL installation services may also supply services directly to airfield operators (that is, not as part of an airside works package). For example, Avionics provides a range of ancillary services directly to airfield operators, such as AGL system planning and design (as a precursor to installation) and maintenance services (following installation).
- 2.11. The ACCC understands the supply of AGL installation services to major airfields (capital city and large regional airports, and defence airfields) is specialised, with stricter safety, reputational and technical expertise requirements.

Competition assessment

- 2.12. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Relevant areas of competition

- 2.13. The relevant areas of competition include the supply of airside works and the supply of AGL installation services in Australia. In its assessment, the ACCC has had regard to the higher requirements and competitive dynamics in the supply of AGL installation services specifically at major airports.

- 2.14. The ACCC has considered whether the Acquisition is likely to substantially lessen competition by providing the merged entity the ability and incentive to foreclose rival airside works providers' access to competitively supplied AGL installation services.
- 2.15. In addition, the ACCC considered whether the Acquisition was likely to result in horizontal unilateral effects in the supply of AGL installation services, but this theory of harm was not supported by the material before the ACCC.

Foreclosure of Fulton Hogan's rival airside works providers from accessing competitively supplied AGL installation services

- 2.16. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in the supply of airside works in Australia. The ACCC finds that Fulton Hogan is unlikely to have the ability and incentive to foreclose rival airside works providers by denying them access to Avionics' services or supplying Avionics' services to them at substantially higher prices or with lower quality. In its assessment, the ACCC also considered whether the merged entity could partially foreclose access to Avionics' AGL installation services, for example by denying access only on specific projects.
- 2.17. In reaching its decision, the ACCC has had regard to information provided by the merger parties and market participants, including major airports, regional airports and other airfield works and AGL installers.
- 2.18. In its assessment of the risk of foreclosure, the ACCC considered the characteristics of AGL installation services acquired by major airfield operators (particularly where they involve significant AGL upgrades) in comparison to other AGL services, such as installation at smaller airfields or AGL maintenance. Market feedback suggested that the barriers to compete effectively in AGL installation at major airfields are significantly higher than at smaller airfields (for example, small regional airports or mine-site airfields).
- 2.19. The ACCC considers that there are fewer available alternative suppliers of AGL installation services at major airfields, and that timely entry or expansion by prospective competitors for these projects is unlikely.
- 2.20. However, information before the ACCC suggests that ADB Safegate is a viable alternative supplier of AGL installation services and a source of significant competitive constraint. The ACCC finds that, given the availability of ADB Safegate as an alternative, the merged entity is unlikely to have the ability to fully or partly foreclose rival airside works providers' access to AGL installation services.
- 2.21. The ACCC also understands that some major airports require that tender submissions include AGL installation proposals or pricing by specific AGL installers. Additionally, airport operators can acquire AGL services directly from suppliers, rather than through airside works head contractors. The ACCC considers that these factors are also likely to reduce the ability for the merged firm to foreclose access to AGL installation services.

- 2.22. The ACCC's analysis of information it has obtained, including tender data, indicates that the merged firm is also unlikely to have the incentive to engage in a foreclosure strategy of denying access to or increasing prices of Avionics' AGL services, as it would likely result in a loss of AGL installation sales without a sufficient increase in airside works sales to make foreclosure profitable.
- 2.23. For these reasons, the ACCC considers that there is unlikely to be a substantial lessening of competition arising from foreclosure of access to AGL installation services.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act